

INTERNAL AUDIT REPORT

IATF 16949: 2016

COMPANY: COMPANY NAME

AUDIT DATES: March 20, 2026

Address

3010 Mechanic Rd
Manufacturing Site 1, MI

Scope:

Machining and assembly
of metal components.

Address:

3010 Mechanic Rd

Exclusion:

Product Design

Lead Auditor

Ebeni Villarreal

Contact:

Tim Nowicki- QA

Objective:

Assess the (QMS) for
conformance with IATF
16949:2016 and customer
specific requirements .

**Summary of
Findings:**

25 Nonconformances
9 OFI's

OPENING MEETING

Attendees:

Opening

Meeting Date:

CLOSING MEETING

Attendees:

Closing

Meeting Date

Executive Summary

The internal audit of Company Name ' Quality Management System (QMS), conducted in accordance with the IATF 16949 standard, has revealed significant challenges within the organization's quality management practices. Amidst considerable organizational changes over the previous year, the effectiveness of the QMS has been notably compromised, leading to a series of deficiencies that necessitate urgent attention.

Key Findings

- The audit identified a total of 25 non-conformances across various aspects of the QMS, signaling critical areas where the organization fails to meet the IATF 16949 requirements.
- Additionally, 9 opportunities for improvement were recognized, offering potential opportunities to enhance the QMS's effectiveness and efficiency.
- Significant deficiencies were observed in the manufacturing process, particularly concerning the lack of adherence to prescribed measuring methods and frequencies, as well as non-compliance with control plan specifications.

- Concerns regarding the competency of personnel have been highlighted as a significant deficiency, affecting the overall quality of operations.
- The audit also uncovered several deficiencies within management processes, including issues with the establishment and monitoring of objectives/Key Performance Indicators (KPIs), alignment with process maps, regular review of these metrics and other required inputs in management review.

Strengths and Opportunities

Despite these challenges, Company Name possesses considerable strengths that can be leveraged to address the identified issues. A key asset that the organization possesses is the "Plex" Enterprise Resource Planning (ERP) system, an advanced tool that offers extensive capabilities to support quality management practices. The system's features can play a pivotal role in streamlining processes, improving data accuracy, and fostering a culture of continuous improvement.

Outlook and Recommendations

With the recent formation of a new management team, there is a renewed opportunity to address the deficiencies head-on and steer the organization towards achieving a robust and effective QMS. It is important that Company Name capitalizes on the strengths of the Plex ERP system, along with the expertise and fresh perspectives of the new team, to implement corrective actions and drive substantial improvements.

The path forward should focus on solutions to address the identified non-conformances, enhance the competency of personnel through targeted training and development programs, and fully leverage the capabilities of the Plex ERP system to monitor, analyze, and improve quality management processes. By doing so, Company Name can not only address the current deficiencies but also lay the foundation for a more efficient, effective, and resilient QMS moving forward.

Conclusion

While the internal audit has highlighted significant areas of concern, the findings also identify a clear pathway for improvement and growth. With strategic focus, dedicated effort, and the effective use of available resources, Company Name is well-positioned to overcome the current challenges and achieve excellence in quality management.

PROCESS NOTES:

PROCESS: SALES

PROCESS OBJECTIVE(S):

Quote Turnaround – goal@14 days; as of May @12
Sales to Budget 100% goal@; as of 82% in May.
No KPI's monitored currently – under new management.
New KPI's being discussed potentially.
Annual Sales and Negative Impact to Margin

IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED?

Process appears to be effective based on the evidence reviewed, with the exception of the nonconformances identified.

IDENTIFY PROCESS INPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: Customer RRFQ, Prints, Standard Rates, Cost Estimating OUTPUTS: Request for Quote, Purchase Order PROCESS INTERACTIONS: APQP and Purchasing	PERSONNEL INTERVIEWED:
PROCESS DESCRIPTION: Customer RFQ's are received via email or customer portal. RFQ's are downloaded from customer portals with supporting documentation including specifications, prints, volumes, timing and BOM. Sales meetings are held with a cross functional team twice a week. Purchasing is responsible for receiving material costing via quotations from multiple suppliers. Cost estimator takes this information along with costing on labor, equipment, tooling, etc in order to populate overall costing which is a factor in determining quoting feasibility. Reviewed the following quotes for Stellantis. - Stellantis – PN#XXX Carrier Feasibility Review – March 2026; Not awarded. - Stellantis – RFQ – 10K engines; Engineering Changes Portal – Change Notice; email from Buyer - Change from level AE to AF – PN# XX; Volume 245k additional change. - Price Breakdown requested in portal; Capital Equipment and Tooling. - Quote # XXX Rev 2 550K Engines 2/2/25. - EDI Report -Capacity changes – Current program – No letter of intent of PO for Tooling only. - Email 2/25/25 approving capacity analysis.	OBJECTIVE EVIDENCE REVIEWED: • RFQ#XX Redwood – BOS – Tier 2 – Ultimate customer -Tesla • PN# XXX2026Tesla Drive Lever • Quote Log in Plex • Quote XXX; TS Uplift • Cost Analysis and Feasibility Review – Feasibility not completed. • Quote Log in Plex • Quote 896.20; TS Uplift • Cost Analysis and Feasibility Review – Feasibility not completed.
NON-CONFORMANCES IDENTIFIED • Objectives for the sales process have not been monitored or updated since May 2026; not aligned with process map or input to management review – See CAR issued • Evidence reviewed did not support a review prior to commitment; Dana RFQ 1253571- CAR ISSUED.	OPPORTUNITIES FOR IMPROVEMENT: • Feasibility in Plex could be improved to address capacity and manufacturing feasibility more clearly- OFI issued.

PROCESS: CUSTOMER SATISFACTION	
PROCESS OBJECTIVE(S): Green Scorecards; Customer Satisfaction.	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, with the exception of the nonconformance identified, need clarity on customer's expectations for performance; what is green?

IDENTIFY PROCESS INPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: Customer Requirements, Performance Expectations, Company Name performance quality, delivery, service. OUTPUTS: Customer Scorecards PROCESS INTERACTIONS: Management Review and Corrective Action	PERSONNEL INTERVIEWED: - Quality Manager -Quality Engineer
PROCESS DESCRIPTION: Customer Scorecards are reviewed on a monthly basis by a cross functional team and once a month in Management Review with a roll up scorecard summary. Top 3 customers for the Hillside facility are ZF, Dana and Stellantis. • ZF- SCORECARD 3 categories (ppm, # of compliant, delivery); Delivery (green) – 90%-100% PPM -2,530 – Nov 2026 & 1,152 – Oct 2026 # of complaints = 5 –(Nov 2026); 8- (OCT 2026) Ppm – target @=0 Delivery – target @100 – red in Oct 2026 – commercial issue; price increase so Company Name did not ship, affecting delivery rating. # of complaints 2026 total complaints- 39 through Nov 2026 2026 – delivery -91% ytd avg 2026 – ppm avg -6.1 • Dana 2026 scorecard; 57.64 overall score as of Nov 2026 (internal scale <60 red). Ytd incidents @ 8 Last 2 months red due to points lost in delivery and quality. Significant points lost in the sustainability and financial categories. Currently no action plan to address. • Stellantis balanced scorecard - Rolling 6mo @80 overall (green) – 100 IMQ, delivery @100; points lost on cost commodity K25. - Rolling 6mo @ 79 overall yellow – 98 IMQ, delivery @100; 0 cost points lost. - 2 complaints 2026.	OBJECTIVE EVIDENCE REVIEWED: • ZF Scorecard – Dec 2026 • Dana 2026 Scorecard • Stellantis Dec 2026 Scorecard • Company Name Overall Customer Scorecard 2026
NON-CONFORMANCES IDENTIFIED • The company is not clear on what customer expectations (targets) are in all cases with respect to scorecards- CAR issued.	OPPORTUNITIES FOR IMPROVEMENT: None

PROCESS: MANAGEMENT REVIEW

PROCESS OBJECTIVE(S): Green Scorecards; Customer Satisfaction. Achieve Process KPI's and Objectives to drive continual improvement.	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, with the exception of the nonconformances identified.
IDENTIFY PROCESS INPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: Customer Scorecards, Customer Complaints, Business Plan, Interested Parties, Internal and External Issues, KPI/objective performance; QMS inputs OUTPUTS: Effective QMS PROCESS INTERACTIONS: All processes	PERSONNEL INTERVIEWED:
PROCESS DESCRIPTION: The management review process currently is supposed to be held once a month. The last meeting was held in July 2026. Pulse meetings are held on a weekly basis; review of current KPI's. Action items are addressed in plex when trending negative against goal. Customer Scorecards are reviewed monthly by a cross functional team. Management review is held on an annual basis. Last 7/26/26. Items reviewed include: • Previous actions items – June 2026; CEO left • External/internal issues not addressed – CAR. • Customer scorecard roll up for 2026 reviewed. • KPI measurable scorecard not complete since june2026- CAR • Customer complaints roll up for June 2026. • Supplier quality; not included only purchasing. • Audit results; including LPA; 0 internal audit findings; 5 external findings. • LPA goal 96.7%; 96.8% (green) • Feasibility assessments not addressed-CAR • Capacity analysis not addressed -CAR	OBJECTIVE EVIDENCE REVIEWED: • Management Review Schedule • Quality Manual • Management Review Process Map • Management Review Procedure • MR Minutes July 2026
NON-CONFORMANCES IDENTIFIED: • Management Review has not been performed since July 2026 – CAR issued. 9.3 • Management Review does not include all required inputs – CAR issued- 9.3.1	OPPORTUNITIES FOR IMPROVEMENT: None

PROCESS: MANAGEMENT/LEADERSHIP

PROCESS OBJECTIVE(S): Ensure the effectiveness of the QMS.	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? The process is not completely effective based on evidence reviewed. Several issues identified resulting in nonconformances. The change in management over last year has resulted in lack of QMS being maintained. New management as of end of 2026.
INPUTS: Context, Interested Parties and their requirements, Company Processes, Goals/objectives, Business Plan, Interested Parties, Internal and External Issues. OUTPUTS: Quality Manual, Scope of the QMS Organizational Context - "Who Gestamp Is- Purpose", The scope of the QMS, the Company Process Map; Proactive Management of Uncertainties; Risk & Opportunities INTERACTIONS: Context All Processes	PERSONNEL INTERVIEWED: Marty Miller -CEO Tim Nowicki – Quality Manager
PROCESS DESCRIPTION: The context of the organization including External and Internal Issues and relative needs of Internal and External parties has been identified in the Organizational Context and Needs of Interested Parties Matrix (Doc# 30904295, Rev 1). The matrix identifies the issues related to each interested party and the methods used to monitor and assess their overall risk. Issues and needs of interested parties have been monitored – CAR. Processes have been identified along with their sequence and interaction on the Overall Process Map. Individual process turtles have been established for all processes identified. Turtles identify inputs, outputs, resources, objectives, performance indicators, risks and opportunities, elated documentation, and responsibility for the process. Process objectives do not align with current KPI's being monitored. Company Name's QMS scope is documented in the Quality Manual, which includes the types of products covered, and locations. Exclusion of design is mentioned in the manual in the Design section including the justification for design. Company Name has not documented their approach on how they have established top management's commitment to the QMS. The manual gives no direction. New management not very aware of requirements – CAR issued. The Quality Policy has been established and is documented in the Quality Manual. Posted in the	OBJECTIVE EVIDENCE REVIEWED: • Quality Manual • Organizational Context and Needs of Interested Parties Matrix (Doc# 30904295, Rev 1). • Overall Process Map - Company Name • Individual Process Maps • Quality Policy #13702978 Rev D 2/1/21 • Organizational Chart • Job Descriptions – Quality Engineer • Employee Handbook #29805646; Rev Feb 2025.

plex stations, lunchroom, The policy is also made available for the public on website. Consider posting in the lobby. Responsibility and Authority is defined via Job Descriptions, and other QMS documentation. R&A for specific customer requirements has not been documented. R&A for product requirements has documented the stop of production related to nonconforming material. Requirements are identified don the Stop Line/Purge procedures and the Escalation process. Corporate Policies have been established and documented in the Employee Handbook. The Employee Handbook #29805646; Rev Feb 2025; includes a Whistleblowing Policy, Antibribery, and Code of Conduct policy.	
NON-CONFORMANCES IDENTIFIED: • The Organizational Context and Needs of Interested Parties Matrix (Doc# 30904295, Rev 1) is not currently being maintained and reviewed in Management Review- CAR. • KPI's on individual process maps are not currently being monitored- CAR. • New top management hired. Currently commitment to QMS is not evident or documented. Not all requirements for Leadership commitment are addressed- CAR. • R&A for ensuring certain customer requirements are met has not been clearly assigned or documented. including selection of special characteristics, customer scorecards, and customer portals- CAR.	OPPORTUNITIES FOR IMPROVEMENT: • Consider review of interested parties/issues matrix to determine if it can be maintained or whether it should be addressed separately – OFI. • Consider posting policy in lobby – external communication- OFI.

PROCESS: CORRECTIVE ACTION	
PROCESS OBJECTIVE(S): • # of Recurrences; No goal established; not tracked but identified on process map • Cost of Poor Quality – Monitored on a daily basis (Scrap, sorts, reworks, returns); goal @2.94% of sales; actual 2.85% • CA Closure Rate: No goal Not tracked.	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, with the exception of the nonconformances identified.

IDENTIFY PROCESS INPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: Customer Complaints, Customer Returns, Customer Scorecards/Feedback, Internal Issues, Supplier Rejects. OUTPUTS: 8D/IRR, Corrective Action Request, 5 why PROCESS INTERACTIONS: All processes	PERSONNEL INTERVIEWED:
Customer Complaints are received and documented in Plex. 8D's are generated and root cause analysis performed using supporting effective root cause analysis. Corrective actions are documented in Plex IRR system that includes a 3/5 why analysis. Sampled several customer 8D's. Several show incomplete 5 why – CAR. Suppliers are requested to complete corrective action in the Plex issues for any quality issues. Sampled the following IRR's (8D's): IRR 154#; 6/6/26 ZF/PN# 1529-Repeat issue of IRR# 2599 - inside diameter oversized. 5 why performed; Root cause still being investigated. Either 4 NC parts escaped; or error in offset. Been open for over 6 months. No target date established. IRR -2599 ZF 1/19/26 recurrence. Immediate action sort 1782. - 5why/3 – Systemic 5 why not addressed in Plex – CAR issued. Why made and why escape addressed. CAR verified; before issue CPK – 1.89; after CPK – 6.64 Stellantis – IRR 153– Parts that leaked; determined to be a supplier issue. CAR issued to MTI – Auburn. Raw supplier. Leak path identified during root cause analysis. Company Name could not identify issue as final cut performed at customer. CA last cuts will now be performed at Company Name so that proper leak testing can be performed.	OBJECTIVE EVIDENCE REVIEWED: • Plex IRR/Customer Complaint Log • IRR 177 ZF 6/6/26 • IRR 178 – ZF 1/19/26 • IRR 185 – Stellantis • Corrective Action Process Map
NON-CONFORMANCES IDENTIFIED: • Several CAR's reviewed required 3/5why - systemic root cause not addressed or documented- CAR issued.	OPPORTUNITIES FOR IMPROVEMENT: • Consider defining timing requirements for CAR response and closure. Several CAR's show for more than 6 months.

PROCESS: INTERNAL AUDITS

PROCESS OBJECTIVE(S): Audits performed on time – 100% 2026	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, with the exception of the nonconformances identified.
IDENTIFY PROCESS INPUTS AND OUTPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: IATF Requirements, CSR Requirements, Trained/Competent Auditors, Audit Schedule, Previous CAR's OUTPUTS: Internal Audit Report, CAR's. PROCESS INTERACTIONS: All processes, Primarily Corrective Action and Management Review	PERSONNEL INTERVIEWED: – Quality Manager – Quality Engineer
Internal Audits have been performed by a 3rd party contractor. Last full system audit performed by SimpleQ on March 7, 2026. Full system audit is scheduled on an annual basis, which covers all processes identified on the process map and all manufacturing lines at both the Manufacturing Site 1 and Manufacturing Site 2 plants. Audit plan scheduled for a 3 year cycle. Audit notes captured. – 0 NC's identified. Although, no nonconformances were identified; which did not accurately represent current QMS status, 3rd party NC addressed issue. New auditor contracted. Internal audit program 2021-2026; includes risk criteria for criticality of processes and previous CAR's. Critical processes (red) required to be audited a min of once a year. LPA have 4 levels of management. EPV audits are performed on each shift. KPI metrics are being monitored currently – - Audit conformance by area is reviewed using Smart LPA software. - Data should also support KPI for Audit completion by layer – OFI.	OBJECTIVE EVIDENCE REVIEWED: • Internal Audit Report - SimpleQ • Audit Plan – 3year • Audit Schedule 2026 March • Internal Audit Process Map • LPA schedule • LPA records - 2026
NON-CONFORMANCES IDENTIFIED: • None	OPPORTUNITIES FOR IMPROVEMENT: • Data should also support KPI for Audit completion by layer – OFI.

PROCESS: PURCHASING

PROCESS OBJECTIVE(S): • Supplier Scrap • Supplier Cost reductions	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, with the exception of the nonconformances identified.
IDENTIFY PROCESS INPUTS AND OUTPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: IATF Requirements, CSR Requirements, Trained/Competent Auditors, Audit Schedule, Previous CAR's OUTPUTS: Internal Audit Report, CAR's. PROCESS INTERACTIONS: All processes, Primarily Corrective Action and Management Review	PERSONNEL INTERVIEWED: – Quality Manager Quality Engineer
No new suppliers in the last year. Any new suppliers must complete a Supplier Self-Assessment and go through a Supplier Audit. Fraser & Jones – potential new supplier – Quote issued. New Supplier Information Request #41068398 - Fraser and Jones – June 5, 2026. Quotation received from Fraser and Jones 5/2/26; ISO 9001 certified. Summary Quote sheet; comparison with other vendors; in process currently. All suppliers must complete the Self-Assessment on an annual basis. Reviewed Waupaca Self-Assessment -Jan 2024. Includes a second page that is blank -CAR. Currently, – 7 Casting Suppliers Approved Supplier List Casting Suppliers for Dana – Cadillac Casting; Stellantis, GM and ZF – MTI; ZF – Waupaca. Suppliers' performance is monitored on a monthly basis based on Quality and Delivery. Supplier. Scorecards -Monthly in Plex- 40% Delivery; 60% Quality Reviewed several supplier scorecards. • Cadillac -Rolling 6 mo Delivery 100%; Quality 81; overall 89% - 5 CA July-Nov; Porosity issue that Dana has accepted bc they don't want to pay for a leak tester. 5 CARs tied to process. • MTI – Rolling 6 mo Delivery 100%; Quality 84 (1 CAR) – 91% overall. Weekly meetings with supplier-still addressing issues last year. • Waupaca – Rolling 6mo – 100% Overall. Supplier Monitoring Program -2nd party audits, Self-Assessment & CQI – Special Process. Waupaca CQI – 27 Casting 2-24-26.MTI CQI-27 – 5/1/2026 -81 issues identified -follow up; no evidence of follow up. All Suppliers are expected to be a minimum of ISO 9001 certified; with development plans to IATF. Suppliers respond to CARs in	OBJECTIVE EVIDENCE REVIEWED: • Waupaca Supplier Self-Assessment for 2025. • Supplier Selection Process QAP 8.4.12 • New Supplier Information Request #743 - Fraser and Jones – June 5, 2026. • Cadillac Casting – IATF 16949; cert exp May 2024 • MTI - IATF 16949 certified – ABS ; exp 10/24. • Waupaca – IATF 16949 certified – DQS; exp July 2024; Tell City In Exp Jun 2024. • Supplier Scorecards, Cadillac, MTI and Waupaca Dec 2026 • Waupaca CQI-27 Casting 2-24-26 • MTI CQI-27 – 5/1/2026 • Quotation# PN#12642520-C from Fraser and Jones 5/2/2. • #34194183 Supplier Monitoring escalation matrix Rev A

Plex. Supplier Audits Scheduled for 3yrs – 2020-2026. Last supplier audits performed - Jun 1- 2021 – Waupaca – CAR issued. Type and extent of control process defined – 3 Escalation levels defined - #34194183 Supplier Monitoring escalation matrix Rev A. No supplier currently escalated. Suppliers respond to CARs in Plex.- Reviewed IRR 2428; 11/2/28 -mixed parts; no response as of yet.	
NON-CONFORMANCES IDENTIFIED: • Waupaca Self-Assessment -Jan 2024. Includes a second page that is blank-CAR • Great Lakes Die Casting – ISO 9001 – exp 6/3/2024; Been a supplier for 2.5 + yrs. No evidence of development plan to IATF; no waiver from customer-CAR. • Supplier audit set up for 3 years through 2026, however, last Supplier Audits performed - Jun 1- 2021 – Waupaca – CAR. • Process Objectives/KPI's not monitored.	OPPORTUNITIES FOR IMPROVEMENT: • Should consider what follow up protocols will take place for follow up on negative CQI assessment factors – OFI.

PROCESS: DOCUMENT CONTROL	
PROCESS OBJECTIVE(S): To effectively control all QMS related documentation and records	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, with the exception of the nonconformances identified.
IDENTIFY PROCESS INPUTS AND OUTPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: Quality Manual, Procedures, Work Instructions, Quality Records, Specifications, Prints OUTPUTS: Controlled QMS Documentation PROCESS INTERACTIONS: All processes	PERSONNEL INTERVIEWED: Lisa Brown – Document Control John Green. – Quality Engineer
The document control process is managed through the Plex system. There are multiple levels of QMS documents starting with the Quality Manual. All changes to QMS documentation are processed via a Process Document Change Request. Sampled several PDCR's. All training must be performed prior to completing the PDCR. Process owners are responsible for approving all new and changed documented throughout the workflow system. The Documentation Specialist is responsible for processing all document changes. A Customer Requirements Matrix is available to show how CSR's are covered and addressed in the QMS system. Engineering	OBJECTIVE EVIDENCE REVIEWED: • Plex – Document Master • Process Document Change Request Log #38010302; Rev 7/9/25 • DCR 26-091 12/5/26 – Casting Instruction • PDCR 26-021 -3/9/26 – Warthog Inspection Instruction • PDCR 26-074 - • Quality Manual; Document #11783341; Rev E. • Document and Record Control Process Turtle

specifications are routed through the ECR process workflow upon receipt for review with affected personnel to determine if changes are needed.	
NON-CONFORMANCES IDENTIFIED: Several Process Document Change Request reviewed required training: 26-021 – Inspection of Warhog 3/9/26; and 26-074 Surfist Lab Instruction, 10/26/26; no evidence of training although changes to instruction implemented	OPPORTUNITIES FOR IMPROVEMENT: None

PROCESS: APQP	
PROCESS OBJECTIVE(S): APQP Scorecard	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, with the exception of the nonconformances identified below.
IDENTIFY PROCESS INPUTS AND OUTPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: Purchase Order; Capability, Costing, Timing Requirement, Customer Drawings/Specifications, Quotation, Feasibility, Special Product & Process, DFMEA, Process Flow Charts Characteristics, Orders, Internal Documentation Requirements, Equipment & Tooling. OUTPUTS: Mfg. Flow Chart, The Control Plan, PFMEA. PROCESS INTERACTIONS: APQP is performed by Corporate office (Manufacturing Site 1) and supports the Manufacturing Site 2 Plant also. Interactions with Sales, Purchasing, Production, Tooling, Maintenance and Quality.	PERSONNEL INTERVIEWED: – APQP/Eng – Program Manager – Quality Engineer
Prelaunch Phase -PPAP Milestones identify 36 weeks from 1/30/26; PPAP submitted however, customer delays from validation. Plex is used to manage the APQP process. - Gate 1- Floor Layout to show increase in volume; rev 12/5/26. - Gate 2 – Identification and Traceability Plan identified -Not on print - Gage Bench Layout Dana Carrier U25 – Level 3 PPAP- PN# 10125724; Eng D;PSW - Level 3 Special Characteristic Matrix 25463198; Rev 9; consider adding other characteristics other than SC's and CC's. Control Plan reviewed. Print -Process Sheets (internal)	OBJECTIVE EVIDENCE REVIEWED: - APQP Process Turtle - Plex APQP for Dana Carrier and Stellantis - Dana Carrier U&25 – Level 3 PPAP- PN# 10125724. - Control Plan 9/7/26 PN# 10125724. - PFMEA 9/18/26; - Special Characteristic Matrix 25463198; Rev 9. - Dimensional Test 4/4/26; - Ok. - Capability Study –DCP – 3; @1.57; DCP 8 @ 1.43 - G-4800-36 MSA – 7.55; 8/27/2020 - ZF Equipment sign off – Scope of Work – Gosiger - 9/14/2020 - PFMEA – Stellantis – Output Support – PN#04752654AB; Rev 1/20/26;

PFMEA revision history in Plex; PFMEA – Dana 10125726/24; rev 9/18/26 Priority Level – 1; several plan completion dates from 2021 not complete Team PFMEA reviews – cross functional team -annually. A schedule is established for the annual review of control plans, PFMEA's and internal Prints (process sheets) by program. Sampled PPAP documentation including: Dimensional Test, Capability Study; MSA study R&R New MSA's should be conducted with current appraisers- OFI. Stellantis Merlin T6 April -2026 complete PFMEA – Stellantis – PN# 68358; - 6part layout - MSA - Capability - PSW PFMEA – Stellantis – Output Support – PN#04752654AB; Rev 1/20/26; not in correct format; without Priority levels. Several detection ratings for visual inspection are rated a 5; not aligned.	
NON-CONFORMANCES IDENTIFIED: • PFMEA Dana PN#31918943; rev 9/18/26 has several priority one risk level failure modes that have actions identified since 2020 and 2021 with no action taken. • PFMEA PN# 04752654AB – detection ratings not aligned with AIAG manual -visual inspection given a 5.	OPPORTUNITIES FOR IMPROVEMENT: • Current special characteristic cross reference matrix compliance does include critical and significant characteristics. There are other special characteristics that should be included.

PROCESS: GAGE CONTROL	
PROCESS OBJECTIVE(S): Gage Calibrations completed on time. Not tracked – See CAR on KPI's.	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process appears to be effective based on the evidence reviewed, except for the noted nonconformances.
IDENTIFY PROCESS INPUTS AND OUTPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: List of measurement equipment, calibration software, calibration schedules, control plans, competent personnel, external Lab accreditation, Calibration Certificates, Identification Stickers, Control Plan,	PERSONNEL INTERVIEWED: – Gage Coordinator

Procedures, Work instructions, MSA Reference Manual, Laboratory Scope, MSA OUTPUTS: Calibrated measurement equipment, reliable measurement systems PROCESS INTERACTIONS: Production, Purchasing, Quality, APQP	
All new gages require an MSA study is used to qualify the gage. Dana gear Blank G-5002 new gages. Green acceptable Gage R&R study is determined acceptable for variable gages. All qualified gages are to be identified in the Plex Calibration module and given a calibration/verification frequency, which is influenced by usage of the gage. Most are on a 2yr cycle. Gauges are calibrated/verified periodically (typically yearly) internally or by accredited labs. A laboratory scope is developed to identify measuring equipment that is verified internally. Current laboratory scope is very vague and does not identify procedures for calibration- CAR. Plex is monitored to determine which gages are due. Status is reported in weekly staff meeting. MSA are performed on each type of equipment and for gages measuring a special characteristic. statistical Analysis is performed on measurement systems found in the Control plan.	OBJECTIVE EVIDENCE REVIEWED: • 5502-21 Gage R&R to qualify – 6.76% - Ok. Part of PPAP • Calibration Record – G-3400-83B (FCA Output) – last cal 8/3/25 due 2024; calibrated internally CMM # 3 • Calibration Record – Caliper# 201208503 (FCA Output) - last cal 10/24/25; gage blocks used as standard. • Calibration Record – G-3400-80 Indicator (FCA Output) – last cal 4/24/25; 2yrs (internally) with CMM – G2000-6. • Calibration Record – Gage Blocks G-2000-26 1/13/26; Inspec • G-3400-B-RAB-LOW – Verification could be improved to show actual out of tolerance value associated with red rabbit - OFI • Laboratory Scope – Does not break down traceability to methods and competency • Cleanliness Test – WI # 10444836 • Quality Auditors perform cleanliness test; trained. • G-2000-10 GD25 Surfometer 3/2/26 – Mahr Federal - Cal Cert Lab • Surf meter – No gage ID; Calibration Record not available – major CAR • Calibration Certificate – CMM G-2000-6 (MSI Viking) 2/16/26 due 2024 • Laboratory Scope Work Instruction Doc#9367399; rev 3/21/18 • Laboratory Accreditation for Inspec – A2LA exp Scope ok • Laboratory accreditation for Mahr – 17025 exp – NVLAP: Scope ok
NON-CONFORMANCES IDENTIFIED: • Surface gage used to measure DCP 69 in Production is not identified; no gage number, no calibration record, not in Plex calibration system. • Gages in production are not identified with calibration status. • Laboratory Scope Work Instruction Doc#9367399; rev 3/21/18; does not address all requirements for scope	OPPORTUNITIES FOR IMPROVEMENT: • New MSA's should be conducted with current appraisers.

listed above ie procedures, competency, traceability, etc. • KPI not tracked – See CAR under Management	
--	--

PROCESS: MANUFACTURING (ALL SHIFTS)	
PROCESS OBJECTIVE(S): To achieve PPM, Productivity (OEE) and OTD objectives	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process is not effective. Several issues noted that identify system issues in relation to inspection frequency, methods, handling on NC product and related employee competency – See CAR's.
IDENTIFY PROCESS INPUTS AND OUTPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: Raw Materials, Flow Charts, Control Plans, Work Instructions, Workmanship Criteria for Inspection (Pictures), Equipment, Measurement Equipment, Maintenance Plans, Inspection Records. OUTPUTS: Finished parts, Inspection Records PROCES INTERACTIONS: Scheduling, Receiving, Shipping, Quality and Maintenance	PERSONNEL INTERVIEWED:
Reviewed the manufacturing processes for several programs across all 3 shifts. Verified operations according to control plan. Inspections are performed according to the inspection plans in Plex and process prints. Inspection plans are aligned with control plans, and associated process sheets. Parts are to be visual and dimensionally inspected according to acceptance criteria identified in Plex, and process prints. Several operations observed not performing inspections according to plan with regards to frequency, acceptance criteria and responsibility. Operator competency was evident in some processes. Operator using gages that are not in calibration system with no status. Nonconforming product reaction plans not effectively implemented for Dana. Gage instructions not readily available in several areas. These issues have been addressed in the CAR's listed below. Verified error proofing is in place utilizing the auto gage for several operations. Red Rabbit checks are schedule to be performed on all shifts to verify auto gage. Verified hand off meeting between all shifts. Production issues discussed during meetings include productivity, machining, defective parts and downtime. CP ZF 079176453 – Rev Diff Case – 3rd Shift 1/16-17/26	OBJECTIVE EVIDENCE REVIEWED: • ZF 079176453 – Rev Diff Case; Control Plan; rev 11/9/26 • Process Sheet ZF#0769176453; Doc#33891520; Rev A. • Gage Instruction – OP10 IP24A – rev 3/25/25; PN ZF 079176453 • Checksheet #1826909 – ZF In Process 1/7/26- 1st shift • Dana PN#10125726; CP 9/27/26 • Checksheet#1826428; Dana PN#10125726. • FCA Output Support PN#04752654AB– 1st shift; Control Plan; rev 6/26/26 • PN#04752654AB– 1st shift Checksheet #1824096- Op 10 • WI #28260913- Op#30 – DCP43 • Checksheet # 1824017 and 1824019; 1/17/24 FCA/Stellantis • WI 28260913; Rev5/16/26

Process Sheet #33891520; references PN#4460.320.317 Machined Part, however, CP references PN#0769176453. 2 NC scrap parts located in area identified in blue. Checksheet 1826909 – In Process – ZF Diffcase – Turn 4/ OP 40- 1/17/24.

OP20 – Mark DCP 129 calls out inspection by operator every 4 hrs, currently not performed according to operators; only performed by Lab -CAR issued.

4hour check not recorded as planned for Op20 – 2nd shift; nor any for 1/16/26- CAR issued.

Dana PN#10125726 Rev D – 2nd shift 1/15/26

Checksheet 1826428 – In-process check; DCP69 Surface Finish – shows out of spec 3.42; after investigation operator and lab were getting readings of 5.66 and 5.368; Measured in wrong area. Parts contained.

Gage 4800-90.

Stellantis – FCA Output Support PN#04752654AB– 1st shift Parts gaged and documented in Plex.

Gage Instructions Master 18902891; rev 4/25/19; master 2x day;. Work Instruction for gage G-3400-83A not available -CAR issued. SPC data populated in Plex. If point out operator must respond,

NON-CONFORMANCES IDENTIFIED:

- In process Checks for Surface Finish Dana Carrier PN#10125726 showed out of spec condition @3.42 as documented on check sheet 1826428. Operator indicated typo; NC product protocol not implemented. Supervisor and Quality unaware.
- Work instructions and Gage Instruction for Dana PN#10125726 were not available at workstations; to show how to properly gage part. Work Instruction for Stellantis gage G-3400-83A not available.
- Personnel gaging PN#10125726 Dana; did not demonstrate competence in where and how to gage part for surface finish.

OPPORTUNITIES FOR IMPROVEMENT:

- Process sheets show inconsistencies with PN# 's identified on Control Plan, causing confusion and uncertainty among personnel as to which part number they correspond to.

PROCESS: TRAINING

PROCESS OBJECTIVE(S): • OSHA Recordable Injuries • Competency Level • Employee Turnover Competency KPI not tracked – See CAR identified under Management.	IS THE PROCESS OBJECTIVE BEING MET? IS THE PROCESS EFFECTIVELY IMPLEMENTED? Process is not effective based on the evidence reviewed. Systemic issues related to various aspects of training have been identified. Lack of HR Manager; change of personnel contributed.
IDENTIFY PROCESS INPUTS AND DESCRIBE THEIR INTERACTIONS WITH THE PROCESS: INPUTS: New Employees, Procedures, Work Instructions, Job Descriptions, Training Needs OUTPUTS: Competent Employees PROCESS INTERACTIONS: All processes	PERSONNEL INTERVIEWED: Michael Zobel - HR Manager Tim Nowicki – Quality Supervisor Kaylan N. – Quality Engineer
New employees are to receive orientation which includes Quality Policy. New employee orientation hasn't been taking place for several months. HR manager position has been vacant and significant turnover over the last year. On the job training is to be provided to employees, by a supervisor or other qualified employee and documented on the Training Evaluation Checklist. Employee training records for production and direct employees not readily available. Skill matrix not updated. Training/Competency needs not identified for all employees. Criteria for evaluating training effectiveness has not been defined. Supervisors can solicit new training via the Employee Training Request Form. Onboarding schedule to be created moving forward as part of Orientation. Onboarding week planned to include sessions with various departments.	OBJECTIVE EVIDENCE REVIEWED: • Training Verification Form – Aboodarda Arshad – 12/15/26 • Training Plex Database Module
NON-CONFORMANCES IDENTIFIED: • No evidence of training available for several temporary production employees, Schuyler, and several other temporary and permanent employees. • Training/Competency requirements have not been determined for all employees. • Training Verification Records not readily available to support training and verification for all production/direct employees. • Skills Matrix has not been maintained. • New Employee Orientation records not available for several new employees in the last 6 months. • Necessary organizational knowledge has not been determined for the operation of the processes.	OPPORTUNITIES FOR IMPROVEMENT: • Consider defining timing requirements for CAR response and closure. Several CAR's show for more than 6 months.

NONCONFORMANCES AND OFI'S

MANAGEMENT/LEADERSHIP

CAR #1

CLAUSE: IATF 16949:2016 4.1 and 4.2 Context of the Organization

REQUIREMENT: 4.1 The organization shall monitor and review information about these external and internal issues. 4.2 The organization shall monitor and review information about these interested parties and their relevant requirements.

OBJECTIVE EVIDENCE: The Organizational Context and Needs of Interested Parties Matrix (Doc# 30904295, Rev 1) is not currently being maintained and reviewed in Management Review. The matrix identifies the internal and external issues related to each interested party and the methods used to monitor and assess their overall risk. This matrix and information is not currently being maintained or reviewed- CAR issued.

OFI #1

Observation: Review to determine if it can be maintained or whether it should be addressed separately. Consider using the PESTLE approach for identifying internal and external issues.

CAR#2

CLAUSE: IATF 16949:2016 4.4 Quality Process

REQUIREMENT: 4.4 c) determine and apply the criteria and methods (including monitoring, measurements and related performance indicators) needed to ensure the effective operation and control of these processes; g) evaluate these processes and implement any changes needed to ensure that these processes achieve their intended results.

OBJECTIVE EVIDENCE: KPI's on individual process maps are not currently being monitored.

CAR#3

CLAUSE: IATF 16949:2016 5.1 Leadership

REQUIREMENT: Top management shall demonstrate leadership and commitment with respect to the quality management system by a) –j).

- **OBJECTIVE EVIDENCE:** New top management hired. Currently commitment to QMS is not evident or documented. Not all requirements for Leadership commitment are addressed.

CAR#4

CLAUSE: IATF 16949:2016 5.1.1.2 Process Efficiency

REQUIREMENT: Top management shall review the product realization processes and support processes to evaluate and improve their effectiveness and efficiency. The results of the process review activities shall be included as input to the management review (see Section 9.3.2.1.)

OBJECTIVE EVIDENCE: All Process KPI's are not currently being reviewed as part of management review.

OFI#2

CLAUSE 5.2.2 Communicating the quality policy

Consider posting policy in lobby – external communication.

CAR#5

CLAUSE: IATF 16949:2016 5.3.1 Organizational roles, responsibilities, and authorities-supplemental

REQUIREMENT: Top management shall assign personnel with the responsibility and authority to ensure that customer requirements are met. These assignments shall be documented. This includes but is not limited to the selection of special characteristics, setting quality objectives and related training, corrective and preventive actions, product design and development, capacity analysis, logistics information, customer scorecards, and customer portals.

OBJECTIVE EVIDENCE: R&A for ensuring certain customer requirements are met have not been clearly assigned or documented, including selection of special characteristics, customer scorecards, and customer portals.

MANAGEMENT REVIEW

CAR#6

CLAUSE: IATF 16949:2016 9.3.1 Management Review

REQUIREMENT: Top management shall review the organization's quality management system, at planned intervals, to ensure its continuing suitability, adequacy, effectiveness and alignment with the strategic direction of the organization.

OBJECTIVE EVIDENCE: Management review is not held at monthly planned frequency. Last meeting was held in July 2026.

CAR#7

CLAUSE: IATF 16949:2016 9.3.1/9.3.1.1/ Management Review Inputs

REQUIREMENT: The management review shall be planned and carried out taking into consideration: b) changes in external and internal issues that are relevant to the quality management system; c) information on the performance and effectiveness of the quality management system, e) the effectiveness of actions taken to address risks and opportunities (see 6.1).

9.3.1.1 Input to management review shall include:

OBJECTIVE EVIDENCE: Several required inputs are not addressed in last management review in July 2026 including external and internal issues, performance to process KPI's, assessments of manufacturing feasibility.

CORRECTIVE ACTION

CAR#8

CLAUSE: IATF 16949:2016 10.2.3 Problem Solving

REQUIREMENT: The organization shall have a documented process(es) for problem solving including: a. defined approaches for various types and scale of problems (e.g., new product development, current manufacturing issues, field failures, audit findings); c. root cause analysis, methodology used, analysis, and results;

OBJECTIVE EVIDENCE: Several CAR's reviewed required 3/5why -systemic root cause not addressed or documented.

OFI #3

PROCESS: CORRECTIVE ACTION

Consider defining timing requirements for CAR response and closure. Several CAR's show for more than 6 months.

INTERNAL AUDITS

OFI#4

PROCESS: Internal Audits

Consider reevaluating risk criteria for repeat finding/CAR's in scheduling audits.

CUSTOMER SATISFACTION/MANAGEMENT

CAR#9

CLAUSE:

REQUIREMENT: The organization shall monitor customers' perceptions of the degree to which their needs and expectations have been fulfilled.

OBJECTIVE EVIDENCE: Organization is not clear on what customer expectations (targets) are in all cases with respect to scorecards.

PURCHASING

CAR#10

CLAUSE: 8.4.1 Control of externally provided processes, products and services

REQUIREMENT: The organization shall determine and apply criteria for the evaluation, selection, monitoring of performance, and reevaluation of external providers, based on their ability to provide processes or products and services in accordance with requirements. The organization shall retain documented information of these activities and any necessary actions arising from the evaluations.

OBJECTIVE EVIDENCE: Suppliers are responsible for completing a supplier assessment annually. Reviewed Waupaca Self Assessment -Jan 2024. Includes a second page that is blank.

CAR#11

CLAUSE: 8.4.2.3 Supplier quality management system development

REQUIREMENT: 8.4.2.3 Supplier quality management system development The organization shall require their suppliers of automotive products and services to develop, implement, and improve a quality management system certified to ISO 9001, unless otherwise authorized by the customer [e.g., item a) below], with the ultimate objective of becoming certified to this Automotive QMS Standard. Unless otherwise specified by the customer, the following sequence should be applied to achieve this requirement: a)-e).

OBJECTIVE EVIDENCE: Great Lakes Die Casting – ISO 9001 – exp 6/3/2024; Been a supplier for 2.5 + yrs. No evidenced of development plan to IATF; no waiver from customer.

CAR#12

CLAUSE: 8.4.2.4.1 Second-party audits

REQUIREMENT: The organization shall include a second-party audit process in their supplier management approach. The organization shall retain records of the second-party audit reports.

OBJECTIVE EVIDENCE: Supplier audit set up for 3 years through 2026, however, last Supplier Audits performed - Jun 1- 2021 – Waupaca

OFl#6

PROCESS: Purchasing

Should consider what follow up protocols will take place for follow up on negative CQI assessment factors.

SALES

CAR#13

CLAUSE: 6.2 Quality objectives and planning to achieve them

REQUIREMENT: The organization shall establish quality objectives at relevant functions, levels and processes needed for the quality management system. The quality objectives shall b) be measurable; e) be monitored, g) be updated as appropriate.

OBJECTIVE EVIDENCE: Objectives for the sales along with other processes have not been monitored or updated since May 2026; not aligned with process map or input to management review.

CAR#14

CLAUSE: 8.2.3 Review of the requirements for products and services

REQUIREMENT: 8.2.3.1 The organization shall ensure that it has the ability to meet the requirements for products and services to be offered to customers. The organization shall conduct a review before committing to supply products and services to a customer, to include: a) requirements specified by the customer, including the requirements for delivery and post-delivery activities; b) requirements not stated by the customer, but necessary for the specified or intended use, when known; c) requirements specified by the organization; d) statutory and regulatory requirements applicable to the products and services; e) contract or order requirements differing from those previously expressed.

OBJECTIVE EVIDENCE: Evidence reviewed did not support a review prior to commitment; Dana RFQ 1253571.

OFI#7

PROCESS: SALES/APQP

Feasibility in Plex could be improved to address capacity and manufacturing feasibility more clearly.

APQP

CAR#15

CLAUSE: CSR compliance with AIAG FMEA/5.1.2 customer focus

REQUIREMENT: Top management shall demonstrate leadership and commitment with respect to customer focus by ensuring that: a) customer and applicable statutory and regulatory requirements are determined, understood and consistently met.

OBJECTIVE EVIDENCE:

- PFMEA Dana PN#31918943; rev 9/18/26 has several priority one risk level failure modes that have actions identified since 2020 and 2021 with no action taken.
- FMEA PN# 04752654AB – detection ratings not aligned with AIAG manual -visual inspection given a 5.

OFI#8

PROCESS: APQP

Current special characteristic cross reference matrix compliance does includes critical and significant characteristics. There are other special characteristics that should be included.

DOCUMENT CONTROL

CAR#16

CLAUSE: 4.3.2 Customer-specific requirements; 9.2.2 Stellantis LPA

REQUIREMENT: Customer-specific requirements shall be evaluated and included in the scope of the organization's quality management system.

OBJECTIVE EVIDENCE: Evidence not available to support compliance with VDA Volume 6– ie Part3/5 Process Audits based on risk.

MANUFACTURING

CAR#17

CLAUSE: 8.71 Control of Non-conforming product

REQUIREMENT: 8.7.1 The organization shall ensure that outputs that do not conform to their requirements are identified and controlled to prevent their unintended use or delivery. The organization shall take appropriate action based on the nature of the nonconformity and its effect on the conformity of products and services. The organization shall deal with nonconforming outputs in one or more of the following ways: a) correction; b) segregation, containment, return or suspension of provision of products and services; c) informing the customer; d) obtaining authorization for acceptance under concession. Conformity to the requirements shall be verified when nonconforming outputs are corrected.

OBJECTIVE EVIDENCE: In process Checks for Surface Finish Dana Carrier PN#10125726 showed out of spec condition @3.42 as documented on check sheet 1826428. Operator indicated typo; NC product protocol not implemented. Supervisor and Quality unaware.

CAR#18

CLAUSE: 8.5.1.2 Standardized work – operator instructions and visual standard

REQUIREMENT: The organization shall ensure that standardized work documents are: a) communicated to and understood by the employees who are responsible for performing the work; c) understood by the personnel responsible to follow them; d) accessible for use at the designated work area(s).

OBJECTIVE EVIDENCE: Work instructions and Gage Instruction for Dana PN#10125726 were not available at workstations; to show how to properly gage part. Work Instruction for Stellantis gage G-3400-83A not available.

CAR#19

CLAUSE: 7.2.1 Competence Supplemental

REQUIREMENT: Personnel performing specific assigned tasks shall be qualified, as required, with particular attention to the satisfaction of customer requirements.

OBJECTIVE EVIDENCE: Personnel gaging PN#10125726 Dana; did not demonstrate competence in where and how to gage part for surface finish.

CAR#20

CLAUSE: 9.1.1.1 Monitoring and measurement of manufacturing processes

REQUIREMENT: The organization shall verify that the process flow diagram, PFMEA, and control plan are implemented, including adherence to the following: a) measurement techniques; b) sampling plans; c) acceptance criteria; d) records of actual measurement values and/or test results for variable data; e) reaction plans and escalation process when acceptance criteria are not met

OBJECTIVE EVIDENCE:

- 4hour check not recorded as planned for ZF 079176453 – Diff Case 2nd– 3rd Shift 1/16/26. Records in Plex do not support inspections recorded.
- OP20 – DCP 129 calls out inspection by operator every 4 hrs, currently not performed according to operators; only performed by Lab.

OFI#9

PROCESS: MANUFACTURING/APQP

There exist an opportunity to improve the consistency of PN# referenced on Process Sheets and other process documentation (ie Control Plan/FMEA). Machine PN# referenced on several Process Sheets does not correlate to the PN# on the Control Plan for 1012577726 Dana Carrier; 0769176453 ZF Diff Case. Process sheets show inconsistencies with PN#'s identified on Control Plan, causing confusion and uncertainty among personnel as to which part number they correspond to.

GAGE CONTROL

CAR#21

CLAUSE: 7.1.5.2 Measurement traceability

REQUIREMENT: measuring equipment shall be: a) calibrated or verified, or both, at specified intervals, or prior to use, against measurement standards traceable to international or national measurement standards; when no such standards exist, the basis used for calibration or verification shall be retained as documented information; b) identified in order to determine their status

OBJECTIVE EVIDENCE:

- Surface gage used to measure DCP 69 in Production is not identified; no gage number, no calibration record, not in Plex calibration system.
- Gages in production are not identified with calibration status.

CAR#25

CLAUSE 7.1.5.3.1 Internal Laboratory

REQUIREMENT: An organization's internal laboratory facility shall have a defined scope that includes its capability to perform the required inspection, test, or calibration services. The laboratory shall specify and implement, as a minimum, requirements for: a) adequacy of the laboratory technical procedures; b) competency of the laboratory personnel; c) testing of the product; d) capability to perform these services correctly, traceable to the relevant process standard (such as ASTM, EN, etc.); when no national or international standard(s) is available, the organization shall define and implement a methodology to verify measurement system capability; e) customer requirements, if any; f) review of the related records.

OBJECTIVE EVIDENCE: Laboratory Scope Work Instruction Doc#9367399; rev 3/21/18; does not address all requirements for scope listed above i.e. procedures, competency, traceability etc.

TRAINING/COMPETENCE

CAR#26

CLAUSE: 7.2.2 Competence — on-the-job training

REQUIREMENT: The organization shall provide on-the-job training (which shall include customer requirements training) for personnel in any new or modified responsibilities affecting conformity to quality requirements, internal requirements, regulatory or legislative requirements; this shall include contract or agency personnel.

OBJECTIVE EVIDENCE: No evidence of training available for several temporary production employees, Schuyler, and several other temporary and permanent employees.

CAR#24

CLAUSE: 7.2.2 Competence

REQUIREMENT: The organization shall: a) determine the necessary competence of person(s) doing work under its control that affects the performance and effectiveness of the quality management system; b) ensure that these persons are competent on the basis of appropriate education, training, or experience; c) where applicable, take actions to acquire the necessary competence, and evaluate the effectiveness of the actions taken; d) retain appropriate documented information as evidence of competence.

OBJECTIVE EVIDENCE: Training process has not been maintained.

- Training/Competency requirements have not been determined for all employees.
- Training Verification Records not readily available to support training and verification for all production/direct employees.
- Skills Matrix has not been maintained.
- New Employee Orientation records not available for several new employees in the last 6 months.
- Several Process Document Change Request reviewed required training: 26-021 – Inspection of Warhog 3/9/26; and 26-074 Surfist Lab Instruction, 10/26/26; no evidence of training although changes to instruction implemented.

CAR#25

CLAUSE: 7.1.6 Organizational knowledge

REQUIREMENT: The organization shall determine the knowledge necessary for the operation of its processes and to achieve conformity of products and services. This knowledge shall be maintained and be made available to the extent necessary.

OBJECTIVE EVIDENCE: Necessary organizational knowledge has not been determined for the operation of the processes.

COMPANY NAME –Manufacturing Site 1, MI
IATF INTERNAL AUDIT SCHEDULE 2024
JANUARY15-17, 2024

DAY/DATE	TIME	ACTIVITY
Monday January 15, 2024 Manufacturing Site 1	10:00am	CUSTOMER SATISFACTION (SCORECARDS)
	11:30am	CORRECTIVE ACTION - Previous CAR's- External Audit - Customer Complaints
	1:00pm	Lunch
	1:30pm	MANAGEMENT REVIEW/CI/LEADERSHIP – Martin Miller
	4:00pm	MANUFACTURING (2 ND SHIFT) -Manufacturing Site 1
	6:00pm	Daily Wrap Up
Tuesday January 16, 2024 Manufacturing Site 1	7:00am	INTERNAL AUDITS -Tim
	9:00am	PURCHASING – Kalyal SQ– Sam – Supply Chain – Marty - Supp
	11:00am	Lunch
	11:30pm	SALES – Brandi & Joe
	1:30pm	APQP (MANUFACTURING SITE 1) - Tyler/Joe – Doug/Eng
	4:30pm	DOCUMENT CONTROL/RECORD CONTROL
	6:30pm	Daily Wrap Up
Wednesday January 17, 2024 Manufacturing Site 1	6:00am	MANUFACTURING (3 rd shift) -Manufacturing Site 1 -John
	7:00am	MANUFACTURING (1 ST Shift) Manufacturing Site 1
	9:00am	GAGE CONTROL -Tim
	11:00am	Lunch
	11:30am	TRAINING - Michael
	1:00pm	Wrap up Follow up items
	2:0pm	Closing Meeting

APPENDIX B – AUDIT PLAN – 3YR

QMS Process Audit History Previous Audits This Audit Next Audit (with # of NCs)

Customer Processes	Jan'21	Sep'21	Mar'25	Sep'25	Mar'26	Sep'26	Jan'24	Apr 24
Production - Manufacturing Site 1	2		3	4			4	
Sales - Manufacturing Site 1	1	1					2	
Production - Manufacturing Site 2								
APQP – Manufacturing Site 1,	3	1	3	2			1	
Purchasing - Manufacturing Site 1	1	2					3	
Delivery - Manufacturing Site 1,								
Delivery - Manufacturing Site 2 &								
Support Processes								
Gage Control - Manufacturing Site 1		1	3	1			2	
Training – Manufacturing Site 1,				1			3	
Maintenance - Manufacturing Site 1								
Management Processes								
Internal Audit - Manufacturing Site 1				1				
Management/Leadership/Cust -	2	1	1				8	
Corrective Action - Manufacturing Site 1			1	1			1	
Document Control - Manufacturing Site 1		1	1	1			1	
Total Nonconformities this audit	9	7	12	11			25	

Previous Audits This Audit Next Audit

Main (M) or Extended Manufacturing (EM) Site	Shift	Start	Stop	Jan'21	Sep'21	Mar'25	Sep'25	Mar'26	Sep'26	Jan'24	Apr 24
Manufacturing	1	07:00	15:00								
Manufacturing	2	15:00	26:00								
Manufacturing	3	26:00	07:00								
Manufacturing	1	07:00	15:00								
Manufacturing	1	07:00	15:00								
Manufacturing	2	15:00	26:00								
Manufacturing	3	26:00	07:00								

Active Automotive Customers (w/H ships pass-thru programs directly to custom

Customer	Current CSR	Sampled this visit
Burgess Norton (new)	None	
Dana	Supplier Quality Development Manual Rev Mar 2020	X
Eaton Corp.	Supplier Excellence Manual Rev Sept 2025	X
Gil-Mar	Rev 9 7/15/21	
GKN Driveline	Rev C	
GM	IATF CSR 12/25/25, MAQMSR Sept 2017	
Hendrickson	none	
Maclean	Rev 7, 2/1/21	
Means	SQM Rev 6 11/12/21	
Musashi	Rev 4/28/25	
Stellantis	IATF CSR 3/15/21 + 8/5/20, MAQMSR Sept 2017, PPAP 10/17/16	X
Volvo/Mack	6th Edition 2025	
ZF	QD83 Edition 2018	X